from the agreement. To have this option the buyer or seller has to deposit some amount as premium. In case he fails to execute the agreement, he has to forego the premium amount. The choice available to seller not to execute the agreement is called **Put option**. If it is available to buyer it is called **Call option.**

The futures and options are derivatives. **Derivatives** mean any agreement likefutures and options which doesn't have independent value. The agreement to trade in the future doesn't have any value. It has value only because of underlying securities which are to be traded.

Stock Exchanges

In India, there are small and big stock exchanges. The most prominent exchanges are National Stock Exchange (NSE) and Bombay Stock Exchanges (BSE).

National Stock Exchange (NSE)

It was established in 1993 on the recommendation of Pherwani Committee. Industrial Development Bank of India (IDBI) is the main promoter of this exchange. Other leading Financial Institutions are also promoters of it along with IDBI.

Bombay Stock Exchange (BSE)

It was established in 1887.It is Asia's oldest Stock Exchange. It was known as 'The Native Share and Stock Brokers Association'. It was owned by stock brokers. Now it is demutualised. Demutualised means that the stock brokers owned organisation have been made public owned organisation. The shares in the hands of brokers were transferred to public. This process is called **demutualisation**.

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